

More positive narratives about optical Quick Note

3Q26E revenue guidance lower but GM in line; maintain Neutral

Win Semi reported in-line 2Q26 GM of 28.2% (vs. guidance of high-20%; standalone GM was 32.6%) with fab utilization rate improving to 65% from 60% in 1Q26. A strong opex control (14% of revenue) drove OPM up to 14.1% and an earnings beat (*Fig. 1*). Management expects low-teens q-q revenue growth in 3Q26E with GM at low-30% (*Fig. 2*), believing optical will lead sequential growth in 3Q26E, followed by infrastructure, while cellular and Wi-Fi will be flat to slightly up. A richer product mix given that infrastructure revenue has risen to levels similar to that of cellular and falling depreciation (c.TWD700-800mn per quarter) remain the near-term drivers to Win Semi's GM improvements, in our view, and the company continues to deliver decent executions on both ends. During the earnings call, we think management was more optimistic, delivering a firm tone about its optical foundry business progress. The stock currently trades at 29x 2027F EPS or 3.1x 2027F BVPS. We are currently reviewing our earnings model.

More positive developments in the optical foundry

Optical foundry booked the most significant q-q revenue growth in 2Q26 as photodetector (PD) started volume production for a major customer in the latter part of the quarter. Management expects greater demand volume into 3Q26E, and a customer provides a very upbeat demand forecast. Although Win Semi currently only has one strategic customer in the PD production, it is already busy meeting the demand and is not worried about the lack of other customers at this moment. On the laser front, the company has had vertical-cavity surface-emitting laser (VCSEL) and electro-absorption modulated laser (EML; long-haul) in production and will add mid-haul EML to the lineup in 2H26 and initial contribution from CW laser in 2H27. Management estimates high single-digit % of revenue from optical communication in 2026E with potential to move toward double-digits % in 2027E.

Inventory balance increases to prepare for production ramp-up

Win Semi exited the quarter with TWD7.6bn of inventory (+48% q-q), and the company attributes most of the growth to raw material and chemical preparation in response to geopolitical uncertainty (e.g. export controls) and supply chain security amid the Middle East conflicts, ahead of peak seasonality. It also has entered into long-term agreements (LTAs) for critical materials to reduce supply chain risks, and works with the PD customers to secure substrate supply together.

Satellite revenue contribution also on a growth trajectory

Win Semi notes that it serves satellite communications with GaAs and GaN technologies for power amplifiers (PA) and low-noise amplifiers (LNA) on the constellation as well as ground gateways. Within infrastructure, it estimates that current contributions from satellites and base stations are broadly commensurate. We gave an update on the low earth orbit (LEO) radio frequency (RF) supply chain in *our Global Satellite anchor report*, and flagged that a fast-growing satellite business in 2026-27F could continue to steer a favorable product mix for Win Semi, if SpaceX's (SPCX US, Not rated) commitment prevails (*report*).

Rating Remains	Neutral
Target price Remains	TWD 590.00
Closing price 24 July 2026	TWD 341.50

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Fig. 1: Win Semi's 2Q26 results vs Nomura forecasts and Bloomberg consensus

(TWD mn)	2Q26							
	Actual	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.
Revenue	5,257	14.5%	5,276	14.9%	-0.4%	5,298	15.4%	-0.8%
Gross profit	1,485	22.8%	1,484	22.8%	0.0%	1,550	28.2%	-4.2%
- Opex	(743)	-4.5%	(868)	11.6%	-14.4%	(845)	8.6%	-12.1%
Operating profit	742	72.2%	617	43.0%	20.3%	705	63.5%	5.3%
Pretax profit	1,188	123.4%	522	-1.9%	127.6%	717	34.8%	65.7%
Net profit	977	83.1%	525	-1.6%	86.1%	656	23.1%	48.8%
EPS (TWD)	2.30	83.1%	1.24	-1.6%	86.1%	1.51	20.0%	52.6%
Margin	Actual		NMR		Diff.	BBG		Diff.
Gross margin	28.2%		28.1%		11bps	29.3%		-101bps
- Opex ratio	-14.1%		-16.4%		232bps	-16.0%		182bps
Operating margin	14.1%		11.7%		243bps	13.3%		81bps
Pretax margin	22.6%		9.9%		1,271bps	13.5%		907bps
Net margin	18.6%		9.9%		863bps	12.4%		619bps

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: Win Semi's 3Q26E guidance vs Nomura forecasts and Bloomberg consensus

(TWD mn)	3Q26E								Remarks
	Guidance	q-q	NMR	q-q	Diff.	BBG	q-q	Diff.	
Revenue	5,888	12.0%	6,200	17.5%	-5.0%	5,655	6.7%	4.1%	Up low-teens q-q
Gross profit	1,884	26.9%	1,974	33.0%	-4.5%	1,772	14.4%	6.3%	
- Opex			(879)	1.3%		(882)	4.3%		
Operating profit			1,094	77.5%		891	26.4%		
Pretax profit			1,000	91.6%		923	28.8%		
Net profit			921	75.6%		815	24.2%		
EPS (TWD)			2.17	75.6%		1.87	23.9%		
Margin	Guidance		NMR		Diff.	BBG		Diff.	Remarks
Gross margin	32.0%		31.8%		17bps	31.3%		66bps	Low-30%
- Opex ratio			-14.2%			-15.6%			
Operating margin			17.7%			15.7%			
Pretax margin			16.1%			16.3%			
Net margin			14.9%			14.4%			

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 3: Win Semi - revenue mix

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Cellular	45-50%	40-45%	35-40%	25-30%	30-35%	30-35%	30-35%	25-30%	30-35%	30-35%
Wi-Fi	10-15%	15-20%	15-20%	10-15%	10-15%	15-20%	15-20%	15-20%	15-20%	10-15%
Infrastructure	20-25%	25-30%	25-30%	35-40%	30-35%	30-35%	30-35%	30-35%	30-35%	30-35%
Optical & Others	15%	12%	16%	21%	17%	13%	16%	17%		
Optical									5-10%	10-15%
Others									6%	5%

Source: Company data, Nomura research

Win Semi: 1Q26 analyst briefing summary

Below comments are from Win Semi's management, unless otherwise stated:

Results summary

- Revenue was TWD5.257bn (+15% q-q, +39% y-y) vs. guidance of mid-teens q-q growth.
- Consolidated GM was 28.2% (vs guidance of high-20s), down from 26.3% in 1Q26.
 - Product mix improvement, shipment growth and initial dilution from new product ramp together affected GM; standalone GM was 32.6% (+0.5pp q-q).
 - Foundry UTR was 65% in 2Q26 vs. 60% in 1Q26.
 - Depreciation was TWD760mn. As Win Semi re-initiated project spendings from 2H25, management does not expect further significant drop in depreciation.
 - Capex was TWD129mn (re-initiated project-based spending from 2H25). Maintains full-year capex budget of TWD2-3bn.
- OPM increased to 14.1% in 2Q26 from 9.4% in 1Q26. Opex ratio was down to 14% in 2Q26 from 17% in 1Q26.
 - <TWD800mn/quarter in 1H26.
- Non-operating gain was TWD447mn in 2Q26, including FX gains of TWD144mn and interest expense TWD143mn.
- 2Q26 revenue mix
 - Cellular (30-35% of revenue)
 - Infrastructure (30-35%)
 - Wi-Fi (10-15%)
 - Optical (10-15%)
 - Others (5%)
- 3Q26E guidance
 - Consolidated revenue to grow low-teens q-q.
 - Consolidated GM in low-30s.

Management remarks

- Router demand was soft in 2Q26 and shipments were down q-q. Other applications saw growth q-q.
- Cellular PA momentum picked up further in 2Q26 given that smartphones would be entering traditional high season. Cellular was up single-digit q-q.
- Infrastructure benefited from data center and aerospace demand, with decent q-q growth.
- Optical had new applications entering production in late-2Q26. Optical had the most significant q-q growth among all applications.
- High-margin infrastructure revenue mix is now on par with cellular. Optical also had good growth.
- Memory shortage and some material price inflation could lead to uncertainty in smartphone demand during the peak season but Win Semi focuses on the mid-/high-tier Android and iOS. Cellular and Wi-Fi PA demand do not see much difference in pull-in momentum vs. prior years at Win Semi. But management thinks it has to monitor the sell-through status after product launches.
- Win Semi has extended GaAs pHEMT and GaN to low-earth orbit and other aerospace applications. Win Semi plays an important role in satellite communication, regardless of which camps.
- In AI data centers, Win Semi gradually has a more comprehensive portfolio of GaAs/InP driver IC and optical laser.

- US and Android high-end handset model launches in 3Q26 and new optical communication applications for data centers will be driving revenue growth in 3Q26.

Q&A

- Outlook
 - Optical will lead growth in 3Q26, followed by Infrastructure given Win Semi's aerospace clientele. Cellular and Wi-Fi will be flat to up slightly.
- Optical communication
 - AI revenue was primarily driver IC last year and AI made up low single-digit % of revenue last year. With more optical projects entering mass production, AI made up high single-digit % of revenue (multiple times y-y growth). Management expects sequential growth into 2H26E.
 - Thinks optical communication revenue will move toward double-digit % of revenue in 2027E, with more resource inputs driving the revenue scale toward similar size as Cellular/Infrastructure.
 - PD entered mass production in late 2Q26. The volume will be greater in 3Q26E.
 - PD growth is significant at this moment. Laser will grow, but there are many types of laser. Win Semi can cover VCSEL, EML, CW laser, etc. with client engagement ongoing. EML and VCSEL are in production with more volume onwards; CW laser adoption is relatively less now and the development and qualification are ongoing. Win Semi expects CW laser to have partial contribution (e.g. epitaxy, wafer process) in 2H27E, and has to wait till 2027-28E for more meaningful contribution.
 - PD production focuses on one single customer now. Win Semi is optimistic about PD in the future, and the customer has a very upbeat demand forecast. Win Semi has to work hard to meet the demand already and does not worry about stalled business given the lack of other customers.
 - Win Semi's optical supports cover epitaxy and wafer process. In optical communications, customers may have their own options of epitaxy (e.g. third-party epitaxy or full process at Win Semi).
 - Win Semi does not provide MOCVD tool units.
 - Data center VCSEL has been in production since 2025. EML (mid/long-haul) will enter into production in 2H26 (some long-haul customers were already in production in 2025).
 - Has LTAs for critical materials to reduce supply chain risks. Win Semi works with the PD customer in securing substrate supply.
- Infrastructure
 - Satellite communication includes PA and LNA on the constellation as well as ground gateways. Mobile antenna contribution is less meaningful (part of ground terminal). Win Semi has different technologies (GaAs or GaN) supporting intra-satellite or satellite-gateway communication.
 - Within infrastructure, current contributions from base station and satellite are broadly commensurate.
 - Infrastructure revenues (satellite/base station) are project-based, not recurring. Base station revenue was much higher than satellite last year, but new satellite deployments and direct-to-cell applications are adding to the satellite scale this year. Whether satellite revenue will exceed that of base station is pending monitoring because 5G is now at the late build cycle, but customers are in talks with Win Semi with regard to 6G.
 - Handset direct-to-cell is positive for Win Semi, and it will add to RF devices on satellites.
 - Positive on satellite growth in the long run.
 - Satellite and base station are the two major applications in infrastructure. Defense volume is lower.

- Satellite GaN devices come along with more frequency bands and higher power requirements (e.g. direct-to-cell).
- Depreciation
 - Win Semi initiated some project spendings from 2H25, and the spending will roll into the depreciable asset base upon installation and qualification. Win Semi has no clear picture about the roll-in timeline given uncertainty of semiconductor equipment delivery lead time, but TWD700mn+/quarter of current depreciation charge is broadly the bottom level.
 - Does not anticipate >1bn/quarter of depreciation this year. We may see TWD800mn/quarter plus or minus given more recognition of depreciable assets (optical and GaN investments).
- Inventory
 - Inventory dollar balance increase is mainly due to raw materials. Geopolitics and the tension in Middle East affect the supply situation of raw materials and chemicals. Win Semi built up inventories in 2Q26 in preparation for future production ramp-up.
 - Inventory balance increase has nothing to do with material price increases. Win Semi builds up the stock ahead of peak seasons as well as considering geopolitics/supply chain security.
- Capex and capacity
 - GaN expansion is for infrastructure (base station and satellite). The expansion is ongoing and all the investments are to debottleneck in response to demand.
 - GaAs capacity is sufficient, and any expansion in future will focus on GaN and InP.
 - New equipment purchases all need qualification.
 - Unchanged capex guidance of TWD2-3bn in 2026.
 - 65% capacity utilization is based on the total fab capacity of Win Semi.
 - Capacity utilization could reach 100% in the past. With demand recovery, Win Semi could prepare for more production activities (e.g. labor forces).
 - Capacity installed is maintained at the current level. Internal funding is sufficient to meet debottlenecking capex, unless Win Semi has the intention to build a new factory.
- Profitability
 - Standalone GM is the GM of Win Foundry. Consolidated GM includes the impact from other subsidiaries.
 - GM guidance is on a consolidated basis.
 - Cellular and Wi-Fi GM is below the corporate average given mass volume applications. Infrastructure GM is much higher than the corporate average, while optical is broadly on par with the corporate average.
 - Memory cost has no direct impact on Win Semi's GM, only indirect impact via end-device demand.
- Non-operating items
 - Cannot forecast non-operating gain or loss for 3Q26. FX has not been a huge swing factor, given natural hedge (USD-denominated revenue and procurement).

Appendix A-1

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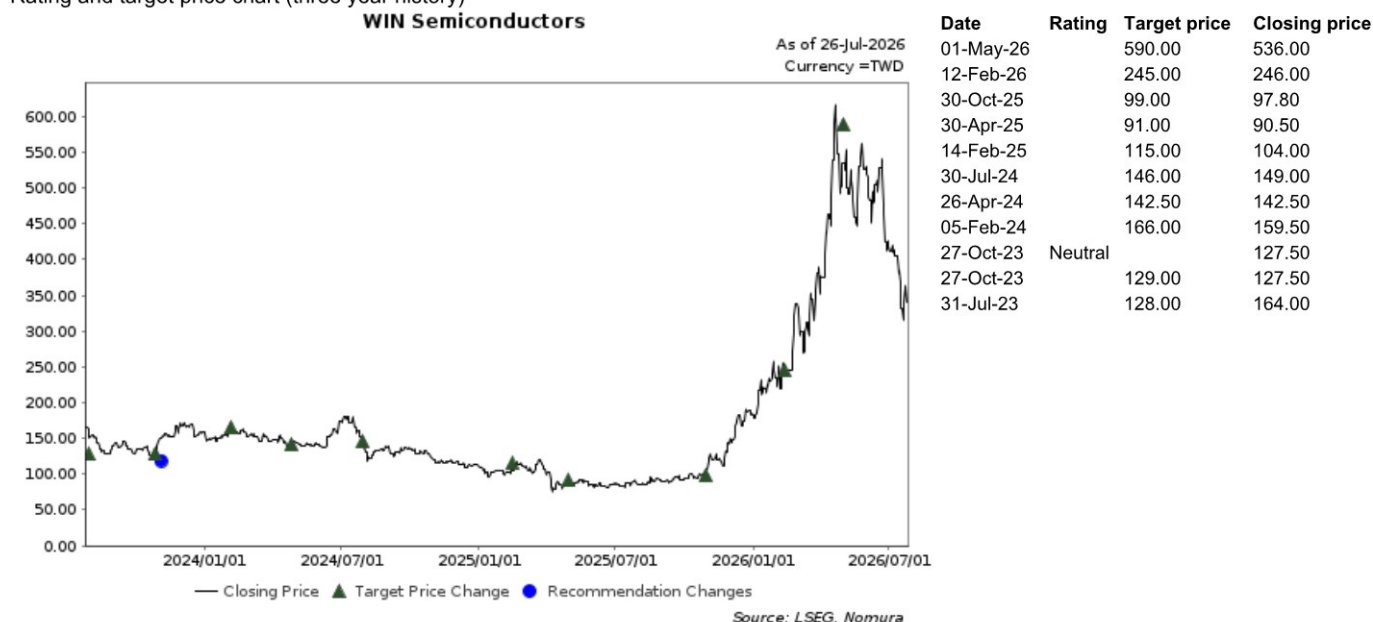
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
WIN Semiconductors	3105 TT	TWD 341.50	24-Jul-2026	Neutral	N/A	

WIN Semiconductors (3105 TT)

TWD 341.50 (24-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD590 is based on 50x 2027F EPS. Our target multiple is at the high end of historical band. The benchmark index for the stock is Taiwan TAIEX.

Risks that may impede the achievement of the target price Upside risks: 1) better-than-expected China smartphone sell through; 2) faster progress on new businesses, such as LEO, LiDAR, underdisplay 3D sensing. Downside risks: 1) higher-than-expected market share gains by competitors, such as AWSC and Coherent; 2) slower-than-expected share gain in China customers; and 3) faster-than-expected market share loss of Qualcomm's PA.

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